



LIFE-LONG UNITY
CAPITAL GROUP

CONSTITUTION & MEMBERSHIP AGREEMENT

DEFINITIONS

For the purposes of this Constitution, the following terms shall have the meanings assigned to them below. These definitions shall apply throughout this document and shall be binding on all members:

1. SACCO

Refers to **LIFE-LONG UNITY CAPITAL GROUP**, including its members, funds, rules, systems, and all financial activities conducted under this constitution.

2. Member

Refers to any individual who has been formally admitted into the SACCO, has met all membership requirements, and has agreed to be bound by this constitution.

3. Contribution

Refers to the **mandatory financial payment** required from each member within a specified period as part of participation in the SACCO.

4. Contribution Structure

Refers to the agreed payment schedule:

- Month 1: KES 2000 (Kes 1000 registration fee and 1000 contribution for that month)
 - Month 2–3: KES 1000 per month
 - Thereafter: KES 1500 per month
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5. Contribution Cycle

Refers to the ongoing monthly financial obligation of members as defined in the contribution structure.

6. Due Date

Refers to the **last calendar day of each month**, by which all contributions must be fully paid.

7. Grace Period

Refers to the limited extension granted after the due date:

- First 3 months: **2 weeks**
- After 3 months: **1 week only**

After this period, penalties automatically apply.

8. Payment

Refers to any amount of money paid by a member toward contributions, loans, penalties, or any SACCO obligation.

9. Partial Payment

Refers to any payment made that is less than the required full contribution for a given period.

10. Outstanding Balance

Refers to any unpaid amount owed by a member, including contributions, penalties, or loan repayments.

11. Overpayment / Credit Balance

Refers to any amount paid in excess of required contributions, which shall be recorded and may be applied to future obligations.

12. Personal Savings

Refers to the accumulated contributions made by a member, which form part of their individual financial stake within the SACCO.

13. Capital

Refers to the total pooled funds contributed by all members for the purpose of growth, lending, and financial stability.

14. Pledge

Refers to a formal request made by a member to delay payment of their contribution under approved conditions.

15. Pledge Fee

Refers to a fixed, non-refundable amount of **KES 100** paid when making a pledge request.

16. Pledge Period

Refers to the maximum duration of **seven (7) days** within which a pledged balance must be cleared.

17. Overdue

Refers to the status assigned to any member who fails to meet their financial obligations within the due date or grace/pledge period.

18. Penalty

Refers to the fixed late payment charge of **KES 500**, applied after the grace period expires.

19. Loan

Refers to any amount of money issued to a member from SACCO funds with a binding obligation to repay within an agreed period.

20. Loan Repayment Period

Refers to the agreed timeframe within which a loan must be fully repaid.

21. Loan Default

Refers to the failure by a member to repay a loan within the agreed repayment period.

22. Defaulter

Refers to any member who:

- Fails to pay contributions
 - Fails to honor a pledge
 - Fails to repay a loan
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23. High-Risk Defaulter

Refers to a member who:

- Becomes unreachable
 - Avoids communication
 - Intentionally evades repayment
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24. Guarantor

Refers to a person (preferably a **parent or guardian**) who agrees to take responsibility in the event a member defaults on their financial obligations.

25. Fraud

Refers to any intentional act of deception, including:

- False payment claims
 - Misrepresentation of transactions
 - Unauthorized use of SACCO funds
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26. Recovery Action

Refers to all measures taken by the SACCO to recover funds, including internal enforcement and legal action.

27. Suspension

Refers to the temporary restriction of a member's rights, including access to loans and benefits.

28. Termination

Refers to the permanent removal of a member from the SACCO due to violation of this constitution.

29. System

Refers to any digital or manual system used to manage SACCO operations, including tracking contributions, loans, and balances.

30. Notification

Refers to any communication sent to members, including reminders, alerts, or updates via SMS, WhatsApp, or other platforms.

31. Recovery Process

Refers to the structured steps taken to recover funds from a defaulter, including:

- Member follow-up
- Guarantor involvement
- Legal escalation

32. Legal Action

Refers to formal proceedings initiated through lawful channels to recover SACCO funds from a defaulting member.

CONSTITUTION

1. MEMBERSHIP

- Membership requires **75% approval** of existing members
 - All members must submit:
 - National ID (front & back)
 - Passport photo
 - Signed agreement
 - Guarantor details
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2. CONTRIBUTIONS

- Members must follow the contribution structure strictly
- Contributions form part of:
 - Personal savings
 - SACCO capital

Month 1 (Initial Entry Payment):

- KES 1000 – **SACCO Membership Registration Fee** (*Non-refundable*)
- KES 1000 – *First Month Contribution*

Total payable in Month 1: **KES 2000**

3. PAYMENT RULES

- Payments must be completed by due date
 - Partial payments are allowed but do not prevent penalties
 - Outstanding balances must be cleared
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4. GRACE PERIOD POLICY

- First 3 months: 2 weeks
- After 3 months: 1 week

After expiry:

- Member becomes overdue
 - Penalty applies immediately
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5. LATE PAYMENT PENALTY

- Fixed: **KES 500**
 - Applied after grace period
 - Added to outstanding balance
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6. PLEDGE SYSTEM

- Must be declared within first week
- Requires **KES 100 fee**

Conditions:

- Must clear within 7 days
- No extensions

Failure:

- Overdue status
 - Penalty applied
 - Possible suspension
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7. CAPITAL BUILDING & ROLL-OVER

- SACCO focuses on capital growth

After 6 months:

- Funds may be rolled over
 - Or distributed by agreement
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8. LOAN POLICY

- Loans May be given based on:
 - Contribution consistency
 - Member reliability
 - Available funds

9. GUARANTOR RESPONSIBILITY

- Mandatory for loans
 - Preferably parent/guardian
 - Will be involved in recovery if default occurs
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10. LOAN DEFAULT

- Member is marked defaulter
 - Blocked from loans
 - Penalties applied
 - Guarantor involved
 - Loss of privileges
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11. DISAPPEARANCE / EVASION

- Classified as High-Risk Defaulter

Actions:

- Immediate termination
 - Public identification
 - Recovery process initiated
 - Guarantor engaged
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12. LEGAL & RECOVERY ACTION

- SACCO may:
 - Recover funds through all means
 - Involve guarantors
 - Report to authorities
 - Initiate legal action
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13. FRAUD & MISUSE

- Leads to:
 - Suspension
 - Termination
 - Legal action
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14. MEETINGS

- Attendance is mandatory
- Absence may attract penalties
- Absence without valid reason: **KES 500 penalty**

15. RECORD KEEPING

- All transactions must be recorded
 - Records must be transparent
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16. EXIT / WITHDRAWAL

- 30 days notice required
 - All obligations must be cleared
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17. DISCIPLINE

- Members must act with integrity
 - Violations lead to removal
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18. DISPUTE RESOLUTION

- Internal resolution first
 - Then group decision
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19. AMENDMENTS

Requires 75% approval

20. LEADERSHIP STRUCTURE

The group is governed by the following officials:

- **Chairman:** Oversight of meetings and decision-making processes
- **Treasurer:** Management of finances and transaction recording
- **Secretary:** Documentation maintenance and recording of minutes
- **Auditor:** Oversight of the Treasurer, Secretary
- **Disciplinary**

Term of Office

- Leaders serve a term of **1 year**, followed by mandatory elections.
 - Re-election or replacement is determined by **majority vote** based on performance factors.
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21. FINAL DECLARATION

All members accept:

- Full responsibility
- All rules and consequences
- Legal implications of default

22. ADOPTION

We, the undersigned members, agree to abide by this constitution:

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

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Name: _____ Signature: _____

Name: _____ Signature: _____

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Name: _____ Signature: _____

Name: _____ Signature: _____

Name: _____ Signature: _____

CHAIRMAN SIGNATURE

Name: _____ Signature: _____ Date: _____